Table 8.7 Simple Value and Momentum Annual Results

	50% Value, 50% MOM	Simple Value	Simple MOM	SP500
CAGR	17.72%	15.69%	18.86%	10.23%
Standard Deviation	19.46%	17.48%	24.79%	14.86%
Downside Deviation	13.80%	12.64%	17.35%	10.60%
Sharpe Ratio	0.69	0.65	0.63	0.40
Sortino Ratio (MAR = 5%)	0.97	0.89	0.89	0.56
Worst Drawdown	−50.18%	−47.33%	−58.40%	−50.21%
Worst Month Return	−25.85%	−20.96%	−30.74%	−21.58%
Best Month Return	20.82%	25.43%	42.73%	16.81%
Profitable Months	62.62%	62.30%	62.94%	61.65%
Cumulative Draw Downs	–15504.56%	–14806.83%	–19368.90%	–14818.19%

As one can see from the results, both the Simple Value and Simple MOM portfolios outperform the market. Both have higher CAGRs and Sharpe and Sortino ratios than the market. However, momentum does have a larger drawdown than the S&P 500. Examining the combination of 50 percent value and 50 percent momentum, this portfolio generates even higher Sharpe and Sortino ratios, with a lower drawdown than the market. The correlation between value and momentum is only 68.60 percent, which is much lower than the correlation between value and the S&P 500 (87.54%) and the correlation between momentum and the S&P 500 (74.15%). This lower correlation gives some diversification benefits when combining the two portfolios. Overall, the 50 percent value and 50 percent momentum portfolio outperforms the market, as it beats the S&P 500 100.00 percent across 10-year rolling periods.

Table 8.8 provides the annual returns to the four portfolios.